Collapse of Inflation Makes Monetarist Theory Redundant

Japan entered no-inflation territory in the early 1990s. Most of Europe has not seen inflation of more than 2 per cent in the twenty-first century. Americans have, for long, set 2 per cent as the minimum inflation target but have not succeeded for two decades despite adopting all kinds of quantitative easing and ballooning of the Fed's balance sheet. Over $3 trillion of money and reserves have been injected in the US after the outbreak of COVID-19 and supply chains collapsed for some time, yet there is no sign of inflation. The Fed has now adopted an average of 2 per cent as the inflation target.

According to monetarist theory, massive monetary expansion in developed countries should have resulted in runaway inflation, but it has not. There are three principal reasons for the collapse of inflation in developed countries.

First, a very stable and longer-term demand and supply equilibrium—where supplies are outpacing demand for reasons like demographic change, construction of infrastructure and global integration—has taken the wind out of the sails of suppliers. They are just not in a position to increase prices for most goods and services.

Second, integration of global supply chains, global trade, massive reduction in transportation costs, rush of interest rates towards zero and the growth of e-commerce have lowered producers'/suppliers' cost of production and distribution, thus protecting corporate profits, while reducing consumers' costs at the same time.

Third, household and corporate savings, including monetary and credit expansion, are increasingly feeding into asset prices in place of consumption and investment, leaving very little or no impact of monetary expansion on inflation.

When developing countries start moving into the upper middle-income or high-income brackets, they start exhibiting the same tendencies. In any